Chevron Corporation (CVX)

$211.15 (Stock Price as of 03/27/2026)

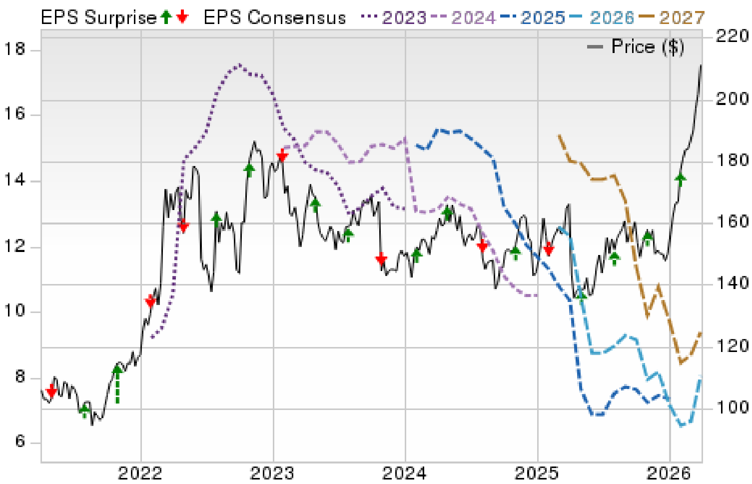
Price Target (6-12 Months): **$220.00**

Long Term: 6-12 Months	**Zacks Recommendation:** (Since: 12/23/25) Prior Recommendation: Underperform	**Neutral**
Short Term: 1-3 Months	**Zacks Rank:** (1-5)	**2-Buy**
	Zacks Style Scores:	VGM: B
	Value: C | Growth: D	Momentum: A

Summary

Chevron's portfolio is strengthening, but risks keep the outlook balanced. The Hess acquisition adds high-quality assets in Guyana, the Bakken, and the Gulf of America, lifting long-term production visibility and free cash flow potential. Even with weak oil prices, free cash flow grew sharply in 2025, supported by cost discipline, asset quality, and steady operations. Deepwater projects like Ballymore and Whale, along with a dominant Permian position, underpin medium-term growth, while ongoing efficiency gains are lowering breakevens. But execution and geopolitical risks remain, as seen at Tengiz, while Venezuela upside depends on policy clarity. Downstream and chemicals face margin pressure, valuation is elevated versus peers, and energy transition progress trails Europe. Taken together, these factors support a Neutral view on CVX stock.

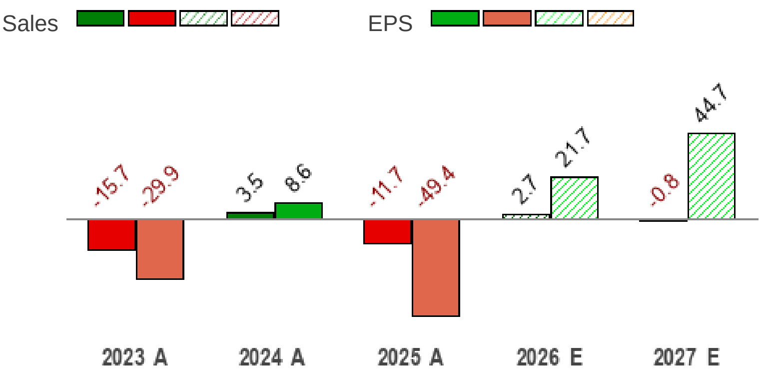
Price, Consensus & Surprise[1]



Data Overview

52 Week High-Low	$212.46 - $132.04
20 Day Average Volume (sh)	15,305,027
Market Cap	$421.3 B
YTD Price Change	38.5%
Beta	0.67
Dividend / Div Yld	$7.12 / 3.4%
Industry	Oil and Gas - Integrated - International
Zacks Industry Rank	Top 12% (30 out of 244)
Last EPS Surprise	5.6%
Last Sales Surprise	-8.9%
EPS F1 Est- 4 week change	20.9%
Expected Report Date	05/01/2026
Earnings ESP	12.7%
P/E TTM	28.9
P/E F1	16.0
PEG F1	0.5
P/S TTM	2.2

Sales and EPS Growth Rates (Y/Y %)[1]



Sales Estimates (millions of $)[1]

	Q1	Q2	Q3	Q4	Annual*
2027					193,097 E
2026					194,728 E
2025	47,610 A	44,822 A	49,726 A	46,873 A	189,031 A

EPS Estimates[1]

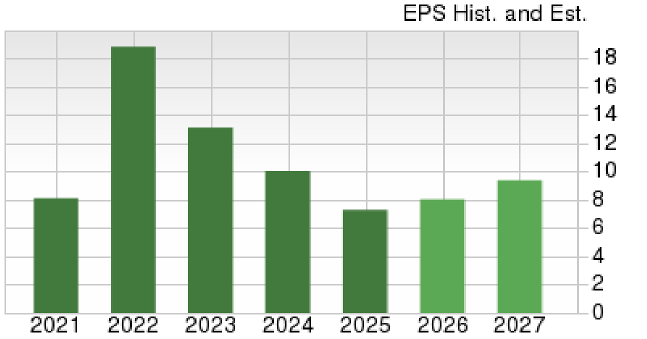
	Q1	Q2	Q3	Q4	Annual*
2027					12.76 E
2026					8.82 E
2025	2.18 A	1.77 A	1.85 A	1.52 A	7.29 A

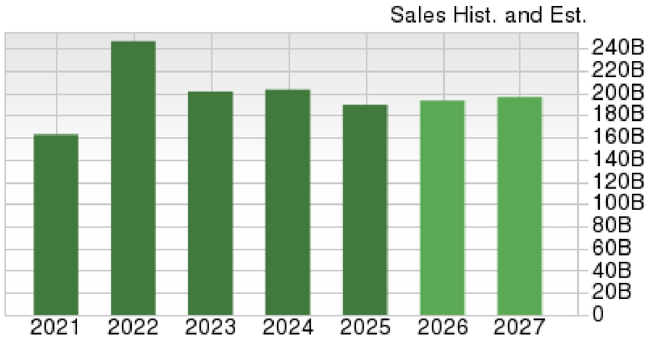
*Quarterly figures may not add up to annual.

(1) The data in the charts and tables, including the Zacks Consensus EPS and sales estimates, is as of 03/27/2026.
(2) The report's text and the price target are as of 03/24/2026.

Overview

Chevron is one of the largest publicly traded oil and gas companies in the world with operations that span almost every corner of the globe. The only energy component of the Dow Jones Industrial Average, San Ramon, CA-based Chevron is fully integrated, meaning it participates in every aspect related to energy – from oil production, to refining and marketing. The company generates more than $189 billion in annual revenues and produces over 3.7 million barrels per day of oil equivalent. Chevron currently churns out oil and natural gas at a 62/38 ratio. As of the end of 2025, the company had proved reserves of approximately 10.6 billion barrels of oil-equivalent.





As of 03/27/2026

The energy sector's revival from the pandemic-induced lows have significantly buoyed Chevron's stock price and it is currently the 28-largest company in the S&P 500 Index. With its relatively low-risk energy business structure, robust financial health, and ample free cash flows, Chevron remains well positioned to navigate the volatility in oil and gas prices.

Being an integrated firm engaged in all aspects of the oil and gas business, Chevron often finds itself in the crossfire of political debates over climate change policy. Notwithstanding these distractions, Chevron has improved its cash from operations, allowing management to raise the dividend regularly. One of only two energy stocks on the list of Dividend Aristocrats, the supermajor's balance sheet is reasonably healthy indicating that the dividend should remain safe going forward.

Chevron has a market cap of more than $350 billion and divides its operations into two main segments: Upstream (exploration & production) and Downstream (refining). In 2025, the Upstream unit reported a profit of $12.8 billion, while the Downstream segment generated earnings of $3 billion. Chevron's other activities include transportation (pipelines, shipping) and chemicals (handled by Chevron Phillips Chemicals Company, a 50/50 joint venture with partner Phillips 66). Chevron's current oil and gas development project pipeline is among the best in the industry, which grew its output by around 12% year over year in 2025. This production growth will primarily come from the Hess acquisition, Chevron's showpiece Permian Basin assets, and project ramp-ups at the Tengizchevroil (TCO) project in Kazakhstan and in the Gulf of America.

As of 03/27/2026

Reasons To Buy:

- Chevron has been a prime beneficiary of the recent oil rally, with its shares climbing sharply and touching record highs above $200. The stock's performance reflects its strong leverage to rising crude prices, particularly through its upstream business, where higher oil prices directly boost margins. As it is, the completed acquisition of Hess significantly boosts Chevron's long-term production and free cash flow profile. It adds premium assets in Guyana, Bakken, and the Gulf of America, increasing Chevron's resource base and operating leverage in key basins. This move diversifies its upstream portfolio and positions the company to deliver stable output growth through the end of the decade — even under moderate price scenarios.

> The completed acquisition of Hess significantly boosts Chevron's long-term production and free cash flow profile.

- Chevron's strong free cash flow growth - despite weaker oil prices – underscore the company's improving portfolio quality and cost discipline. For full-year 2025, adjusted free cash flow (excluding asset sales) rose more than 35% even as oil prices fell nearly 15%. Meanwhile, adjusted free cash flow reached $20 billion, supported by solid operations and selective asset sales. Fourth-quarter operating cash flow totaled $10.8 billion, reflecting resilient underlying performance. This durability supports reinvestment and shareholder returns, with Chevron delivering record cash payouts for the fourth straight year.

- Chevron is leaning heavily on the Gulf of America to fuel its next wave of production growth. In April 2025, the company brought first oil online at Ballymore, a key asset expected to produce around 75,000 barrels per day once all three initial wells ramp up. Just months earlier, production began at Whale — another major deepwater project designed for 100,000 barrels of oil equivalent per day (BOE/d) at peak. With multiple phases still ahead, these developments represent the core of Chevron's plan to reach 300,000 net BOE/d from the Gulf of America by 2026 — a 50% jump from the 2020 levels.

- Chevron is improving margins through sustained cost cuts and operating efficiency. The company delivered $1.5 billion in structural cost reductions in 2025 and now targets $3–$4 billion in annual savings by 2026, mostly from durable efficiency gains. Productivity is also rising, with Permian drilling efficiency more than doubling since 2022 while output holds steady. New technologies, including chemical treatments and AI-driven optimization, are boosting well recovery and slowing decline rates. Together, these efforts lower breakevens and strengthen Chevron's resilience across oil price cycles.

- As the largest mineral owner in the lucrative Permian Basin, Chevron benefits from significant operational flexibility and lower royalty burdens, enhancing its ability to scale production efficiently. The basin's low-cost, high-margin profile provides a durable structural advantage, enabling superior returns — the highest among its peers. This combination of scalability, capital efficiency, and long-term resource depth makes the Permian a key engine of sustainable value creation for Chevron.

Reasons To Sell:

- Chevron's outlook faces some operational and geopolitical uncertainty. A temporary power issue at the Tengizchevroil (TCO) project in Kazakhstan forced a precautionary production cut, underscoring how even top-tier assets can face disruptions. While output is expected to normalize quickly, the episode highlights execution risk. TCO volumes also rely on export routes through the Caspian Pipeline Consortium ('CPC') terminal, where regional conflict recently reduced capacity after damage to an offshore berth. Together, these events remind investors that logistics and geopolitics can affect timing, costs, and realized production, potentially weighing on sentiment if repeated.

Chevron has been a laggard compared to its European peers to jump into the net-zero bandwagon.

- Chevron's Venezuela upside is meaningful but comes with real policy risk. Production has risen sharply since 2022, and management sees potential for further growth over the next 18–24 months. However, that upside depends on additional U.S. authorizations and confidence in Venezuela's fiscal framework. A newly passed hydrocarbon law adds uncertainty, given the country's history of shifting terms. While Chevron's current model limits capital exposure, regulatory or political changes could disrupt cash flows and weaken a growth driver the market may already be factoring in.

- Chevron's downstream and chemicals businesses are facing near-term pressure. Management noted lower quarter-over-quarter downstream earnings, driven by weaker chemicals margins and lower refining volumes. That matters because downstream often helps offset softer upstream pricing, and reduced strength limits that buffer. The chemicals cycle remains challenging too, with management signaling the downturn may last longer.

- Chevron's current P/E ratio is significantly higher than most of its peers, except ExxonMobil. Despite strong financial performance, the elevated valuation indicates that Chevron is expensive relative to other major oil companies, especially the European ones. This high valuation, combined with market volatility, suggests limited upside potential and increased risk for investors.

- While Chevron has said that it "aspired" to achieve net-zero greenhouse gas emissions in its operations by 2050, there is no doubt that the company has been a laggard compared to its European peers to jump into the clean energy bandwagon. Therefore, it will have a lot of catching up to do neutralize all greenhouse gas emissions by the middle of this century.

Last Earnings Report

Chevron Tops Q4 Earnings Estimates, Lags Revenues, Hikes Dividend

FY Quarter Ending	12/31/2025
Earnings Reporting Date	Jan 30, 2026
Sales Surprise	-8.86%
EPS Surprise	5.56%
Quarterly EPS	1.52
Annual EPS (TTM)	7.32

Chevron Corporation reported adjusted fourth-quarter earnings per share of $1.52, beating the Zacks Consensus Estimate of $1.44. The outperformance stemmed from higher-than-expected production in the company's key upstream segment and an 8% year-over-year reduction in costs during this quarter. The company's upstream output of 4,045 thousand oil-equivalent barrels per day (MBOE/d) came in above the consensus mark of 4,009 MBOE/d.

However, the bottom line came well below the year-ago adjusted profit of $2.06, primarily due to a decline in crude oil prices, reduced affiliate earnings and unfavorable foreign currency effects.

The company generated revenues of $46.9 billion. The sales figure missed the Zacks Consensus Estimate of $51.4 billion and decreased 10.2% year over year.

Importantly, Houston, TX-based integrated oil and gas company hiked its quarterly cash dividend by 4% to $1.78 per share. The dividend will be paid out on March 10, 2026, to its shareholders of record as of Feb. 17.

Segment Performance of CVX

Upstream: Chevron's production of crude oil and natural gas — at 4,045 MBOE/d — rose 21% year over year. Recent volume figures mainly highlight higher output from the Permian Basin, the Gulf of America and Kazakhstan.

The U.S. output increased 25% year over year to an all-time high of 2,055 MBOE/d and the company's international operations (accounting for 49% of the total) also increased 17% to 1,990 MBOE/d.

Despite overall volumes improving from last year, Chevron's fourth-quarter 2025 upstream segment profit fell 29% to $3 billion. This was primarily due to lower liquid realizations.

At $42.99 per barrel, Chevron's average realized liquids prices in the United States were more than 19%, which was below the year-earlier levels. Prices overseas decreased 15% to $57.53 per barrel. Natural gas prices surged 36% in the United States, while falling 9% across international markets.

Downstream: Chevron's downstream segment recorded a profit of $823 million in contrast to a loss of $248 million in the previous year. The gain primarily underlined higher product sales margins.

CVX's Cash Flows, Capital Expenditure

The company recorded $10.8 billion in cash flow from operations compared with $8.7 billion in the year-ago period. Chevron's free cash flow for the quarter was $4.2 billion.

The company distributed a total of $27.1 billion in cash to its shareholders over this year. This amount included $12.1 billion for share repurchases, $12.8 billion in dividends and $2.2 billion spent on acquiring Hess shares in early 2025.

This company spent around $5.3 billion in capital and exploratory expenditures during the quarter compared with the year-ago period's $4.3 billion. The increase was due to spending on legacy Hess assets following the acquisition, as well as higher investments in U.S. data center power solutions.

CVX's Financials

Total costs in the fourth-quarter decreased about 8% year over year to $44.3 billion. As of Dec. 31, 2025, the only energy component of the Dow Jones Industrial Average had $6.3 billion in cash and cash equivalents and total debt of $40.8 billion with a debt-to-total capitalization of about 17.9%.

Recent News

Chevron Secures Four Offshore Exploration Leases in Greece

On **February 16**, Chevron announced that it had signed lease agreements with the Hellenic Republic to explore four offshore blocks in Greece. The blocks are located south of Crete and near the Peloponnese. Chevron will operate the project with a 70% stake, alongside HELLENiQ ENERGY holding 30%. The consortium plans to conduct 2D and 3D seismic surveys to assess hydrocarbon potential. The move supports Chevron's strategy to expand exploration activities in the Mediterranean region, pending approval by the Greek Parliament.

Valuation

Chevron shares are up 28.9% in the last six months and 23.7% over the trailing 12-month period. Stocks in the Zacks sub-industry and the Zacks Oil-Energy sector are up 36.6% and 27.7% in the six-month period, respectively. Over the past year, the Zacks sub-industry and sector are up 33.6% and 32.6%, respectively.

The S&P 500 index is down 1% in the six-month period but up 15.6% in the past year.

The stock is currently trading at 2.16X forward 12-month sales, which compares to 1.52X for the Zacks sub-industry,1.59X for the Zacks sector and 4.8X for the S&P 500 index.

Over the past five years, the stock has traded as high as 2.16X and as low as 1.17X, with a 5-year median of 1.38X. Our Neutral recommendation indicates that the stock will perform in-line with the market. Our $220 price target reflects 2.32X F12M sales.

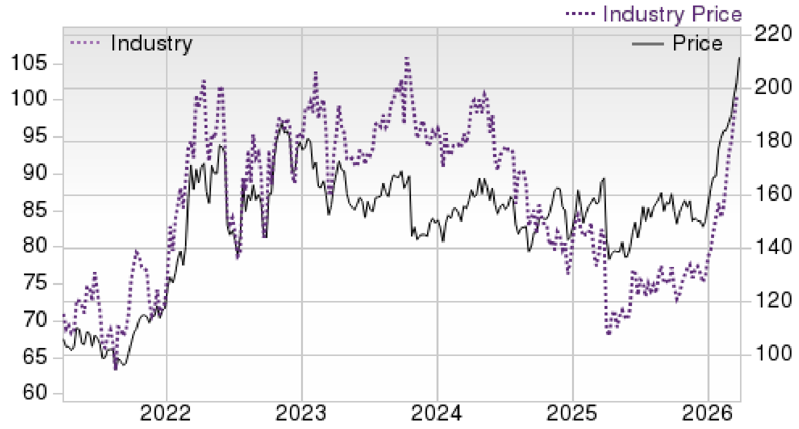
The table below shows summary valuation data for CVX

Valuation Multiples - CVX

		Stock	Sub-Industry	Sector	S&P 500
P/S F12M	Current	2.16	1.52	1.59	4.8
	5-Year High	2.16	1.52	1.59	5.63
	5-Year Low	1.17	0.72	0.74	3.82
	5-Year Median	1.38	0.97	0.99	5.07
EV/EBITDA TTM	Current	10.63	6.51	6.81	16.99
	5-Year High	14.42	6.53	6.87	22.32
	5-Year Low	4.33	2.79	2.8	13.87
	5-Year Median	6.27	4.18	4.44	17.91
P/B TTM	Current	2.15	2.19	2.25	7.64
	5-Year High	2.42	2.2	2.28	9.15
	5-Year Low	1.36	1.2	1.26	6.59
	5-Year Median	1.8	1.61	1.7	8.09

As of 03/23/2026 *Source: Zacks Investment Research*

Industry Analysis[1] Zacks Industry Rank: Top 12% (30 out of 244)



Top Peers [1]

Company (Ticker)	Rec	Rank
OMV AG **(OMVKY)**	Outperform	1
BP p.l.c. **(BP)**	Neutral	2
Eni SpA **(E)**	Neutral	1
Ecopetrol S.A. **(EC)**	Neutral	3
Petroleo Brasileiro ...**(PBR)**	Neutral	3
Repsol SA **(REPYY)**	Neutral	3
Shell PLC Unsponsore...**(SHEL)**	Neutral	3
Exxon Mobil Corporat...**(XOM)**	Neutral	3

Industry Comparison[1] Industry: Oil And Gas - Integrated - International

Industry Peers

	CVX	X Industry	S&P 500	BP	E	SHEL
Zacks Recommendation (Long Term)	Neutral	-	-	Neutral	Neutral	Neutral
Zacks Rank (Short Term)	2	-	-	2	1	3
VGM Score	B	-	-	A	A	A
Market Cap	421.33 B	8.25 B	39.25 B	122.40 B	93.21 B	261.01 B
# of Analysts	9	2	22	12	5	9
Dividend Yield	3.37%	0.00%	1.51%	4.23%	3.07%	3.23%
Value Score	C	-	-	A	A	A
Cash/Price	0.01	0.15	0.04	0.34	0.18	0.15
EV/EBITDA	11.07	5.36	13.50	4.40	4.11	4.83
PEG Ratio	0.49	1.19	1.76	1.31	NA	1.80
Price/Book (P/B)	2.21	1.63	3.31	1.64	1.52	1.50
Price/Cash Flow (P/CF)	12.63	5.97	13.82	4.81	6.50	5.98
P/E (F1)	16.01	11.42	17.91	13.22	11.43	11.90
Price/Sales (P/S)	2.23	1.05	3.04	0.64	0.99	0.95
Earnings Yield	3.81%	8.57%	5.57%	7.56%	8.75%	8.40%
Debt/Equity	0.21	0.75	0.56	0.74	0.38	0.38
Cash Flow ($/share)	16.71	3.62	9.58	9.71	8.50	15.41
Growth Score	D	-	-	B	C	D
Hist. EPS Growth (3-5 yrs)	3.79%	18.75%	7.41%	-7.66%	7.03%	18.75%
Proj. EPS Growth (F1/F0)	-29.95%	14.26%	9.95%	22.57%	38.00%	22.86%
Curr. Cash Flow Growth	-5.30%	-7.32%	7.96%	-0.90%	0.27%	-13.36%
Hist. Cash Flow Growth (3-5 yrs)	11.95%	11.95%	8.87%	22.43%	13.24%	-5.22%
Current Ratio	1.15	1.30	1.19	1.26	1.19	1.30
Debt/Capital	17.15%	42.80%	37.99%	42.46%	27.62%	27.50%
Net Margin	6.51%	6.52%	12.63%	0.03%	3.07%	6.52%
Return on Equity	7.89%	9.68%	17.16%	9.68%	9.27%	10.34%
Sales/Assets	0.65	0.51	0.53	0.68	0.61	0.72
Proj. Sales Growth (F1/F0)	-15.70%	6.47%	5.59%	28.20%	14.10%	10.70%
Momentum Score	A	-	-	A	A	A
Daily Price Chg	1.62%	1.34%	-1.67%	1.10%	2.07%	0.01%
1 Week Price Chg	4.67%	3.76%	-2.12%	4.24%	1.25%	1.91%
4 Week Price Chg	13.06%	17.64%	-7.41%	20.12%	17.64%	10.37%
12 Week Price Chg	35.44%	35.75%	-7.14%	30.28%	41.44%	22.18%
52 Week Price Chg	27.13%	44.80%	14.12%	37.86%	78.36%	26.73%
20 Day Average Volume	15,305,027	3,140,059	3,198,579	19,139,580	677,699	8,196,038
(F1) EPS Est 1 week change	11.06%	0.00%	0.00%	18.29%	17.86%	11.11%
(F1) EPS Est 4 week change	20.88%	21.98%	0.00%	32.83%	25.45%	23.08%
(F1) EPS Est 12 week change	12.56%	10.98%	0.50%	31.45%	36.18%	22.22%
(Q1) EPS Est Mthly Chg	14.53%	6.94%	0.00%	10.24%	13.59%	8.61%

Zacks Stock Rating System

We offer two rating systems that take into account investors' holding horizons: Zacks Rank and Zacks Recommendation. Each provides valuable insights into the future profitability of the stock and can be used separately or in combination with each other depending on your investment style.

Zacks Recommendation

The Zacks Recommendation aims to predict performance over the next 6 to 12 months. The foundation for the quantitatively determined Zacks Recommendation is trends in the company's estimate revisions and earnings outlook. The Zacks Recommendation is broken down into 3 Levels; Outperform, Neutral and Underperform. Unlike many Wall Street firms, we have an excellent balance between the number of Outperform and Neutral recommendations. Our team of 70 analysts are fully versed in the benefits of earnings estimate revisions and how that is harnessed through the Zacks quantitative rating system. But we have given our analysts the ability to override the Zacks Recommendation for the 1200 stocks that they follow. The reason for the analyst over-rides is that there are often factors such as valuation, industry conditions and management effectiveness that a trained investment professional can spot better than a quantitative model.

Zacks Rank

The Zacks Rank is our short-term rating system that is most effective over the one- to three-month holding horizon. The underlying driver for the quantitatively-determined Zacks Rank is the same as the Zacks Recommendation, and reflects trends in earnings estimate revisions.

Zacks Style Scores

The Zacks Style Score is as a complementary indicator to the Zacks rating system, giving investors a way to focus on the highest rated stocks that best fit their own stock picking preferences.

Academic research has proven that stocks with the best Value, Growth and Momentum characteristics outperform the market. The Zacks Style Scores rate stocks on each of these individual styles and assigns a rating of A, B, C, D and F. We also produce the VGM Score (V for Value, G for Growth and M for Momentum), which combines the weighted average of the individual Style Scores into one score. This is perfectly suited for those who want their stocks to have the best scores across the board.

Value Score	C
Growth Score	D
Momentum Score	A
VGM Score	B

As an investor, you want to buy stocks with the highest probability of success. That means buying stocks with a Zacks Recommendation of Outperform, which also has a Style Score of an A or a B.

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